Task 5: Cybercrime Awareness Case Study

Case Study: UPI / Online Payment Fraud

UPI (Unified Payments Interface) fraud is a type of cybercrime in which attackers trick users into transferring money or revealing sensitive banking details such as UPI PIN, OTP, or bank credentials. This fraud is very common in India due to the widespread use of apps like Google Pay, PhonePe, and Paytm, especially among students and first-time users of digital payments.

A typical case involves a college student trying to sell an item online, such as books or a second-hand gadget. A fraudster contacts the student pretending to be a genuine buyer and agrees to make the payment through UPI. The scammer then sends a “collect request” instead of transferring money and instructs the student to enter their UPI PIN to “receive” the payment. Trusting the instructions, the student enters the PIN, unknowingly authorizing a payment from their own account. As a result, money is instantly deducted.

In another variation, the fraudster sends a fake payment link or QR code via WhatsApp or SMS, claiming it is required to receive money, cashback, or a reward. When the victim clicks the link or scans the QR code, they are redirected to a fake interface that captures their banking details or tricks them into approving a transaction.

How the fraud typically happens:

1. The scammer contacts the victim via call, message, or social media.
2. They create urgency or trust (buyer, job offer, cashback, etc.).
3. They send a collect request, fake link, or QR code.
4. The victim is instructed to enter their UPI PIN or click the link.
5. The victim unknowingly authorizes the transaction.
6. Money is deducted instantly from the victim's bank account.

Who is usually targeted:

- College students and young users
- People new to digital payments
- Elderly individuals
- Online sellers on platforms like OLX, Instagram, etc.

Consequences of the fraud:

- Immediate financial loss
- Panic and emotional stress
- Risk of further fraud if details are leaked
- Loss of trust in online payment systems

This type of cybercrime mainly relies on human error and lack of awareness rather than technical hacking. Therefore, understanding how UPI works and being cautious while handling payment requests is essential to avoid such scams.